

Head and Shoulders

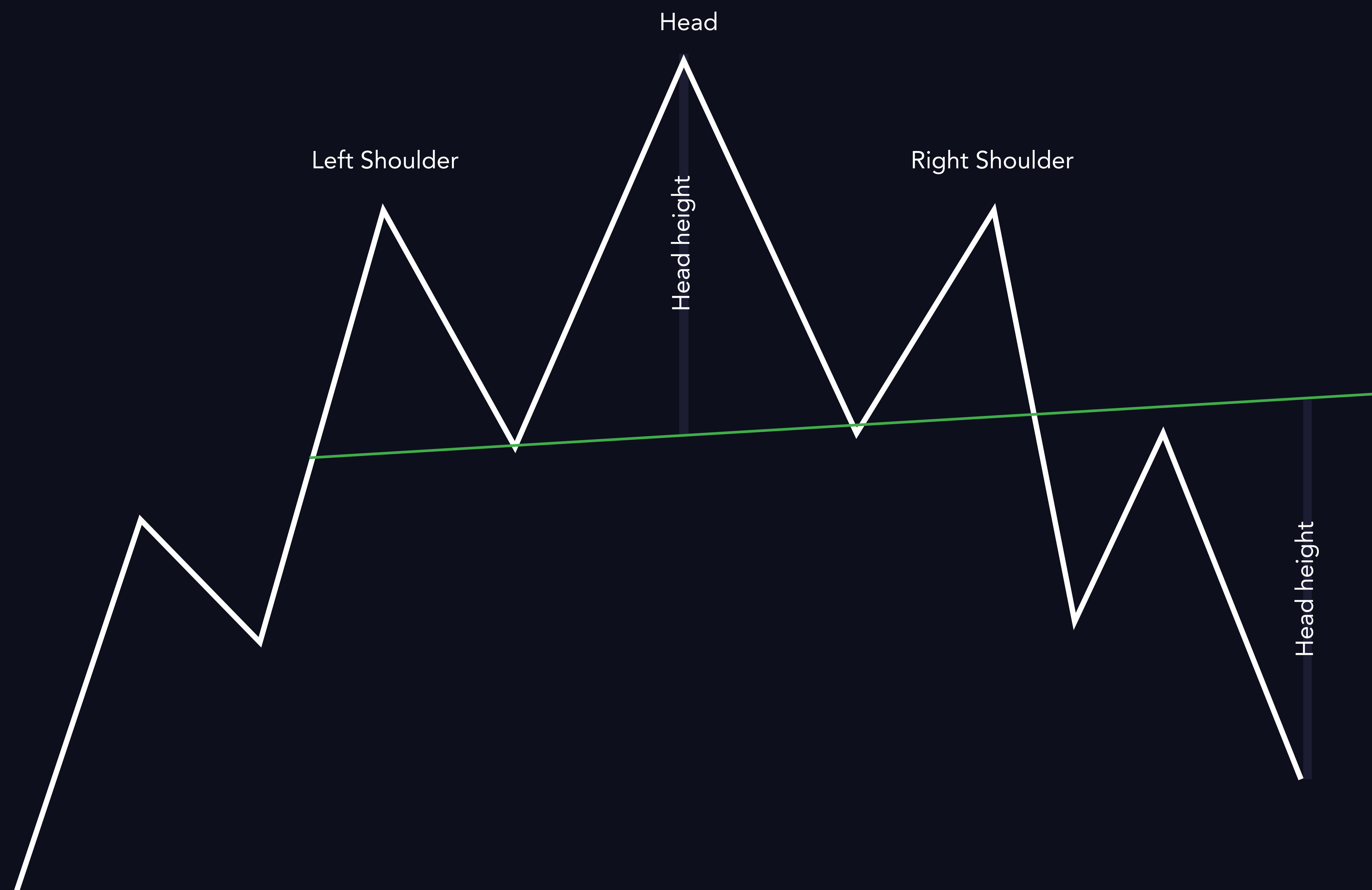
Cheat Sheet



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Head and Shoulders Top Reversal Pattern



The head and shoulders pattern forms from three top peaks. The middle peak (the head) rises above the left and right shoulder, which are normally the same height.

Volume should be highest on the left shoulder rise, lower volume in the rise of the head, and then the lowest volume on the right shoulder rise, thus as the pattern moves along the volume declines.

A short entry is not taken until the neckline is broken, when the neckline is broken an increase in bearish volume should be seen for confirmation of the break. A trader can enter the short upon the neckline breaking, or wait for a possible retest of the neckline - if the original break was on high sell volume a retest is not as likely, but if a bounce for a retest does occur it should be on a low volume rise before an increase in sell volume from the retest of the neckline to continue downwards.

Targets are obtained for the H&S pattern by taking the price from the top of the head to the neckline (green), and then taking a copy of the price % from the head to the trendline, and placing it at the neckline break to give the measured move target.



Explained in Contenders Trendline Trading stream on 21. 8. 2019 (17:44)



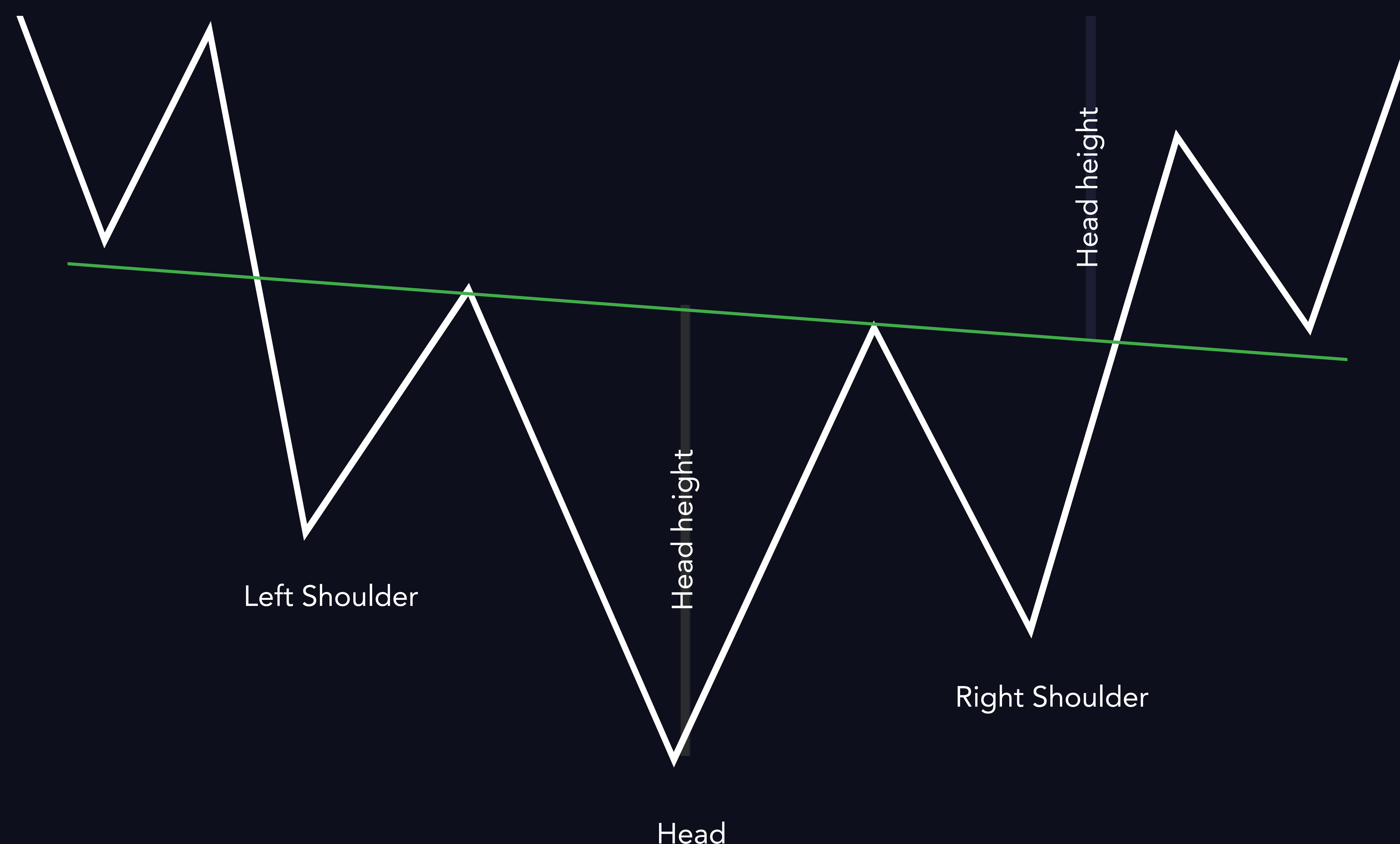
Trading Trend Lines

The inverse head and shoulders pattern forms from three bottom peaks. The middle peak {the head} drops below the left and right shoulder, which are normally the same height.

Sell volume on the left shoulder may be large, followed by less volume on the decline on the head. The rise from the bottom of the head should see an increase in buying volume, than the rise on the left shoulder. The dip on the right shoulder should then be on low volume, and then in the rise of the right shoulder volume should be increasing. The break of the neckline NEEDS to see an increase in volume to confirm the pattern and enter longs.

A long entry is not taken until the neckline is broken, when the neckline is broken an increase in buy volume needs to be seen for confirmation of the break. A trader can enter the long upon the neckline breaking, or wait for a possible retest of the neckline - if a drop for a retest does occur it should be on a low volume decline before an increase in buy volume from the retest of the neckline to continue upwards.

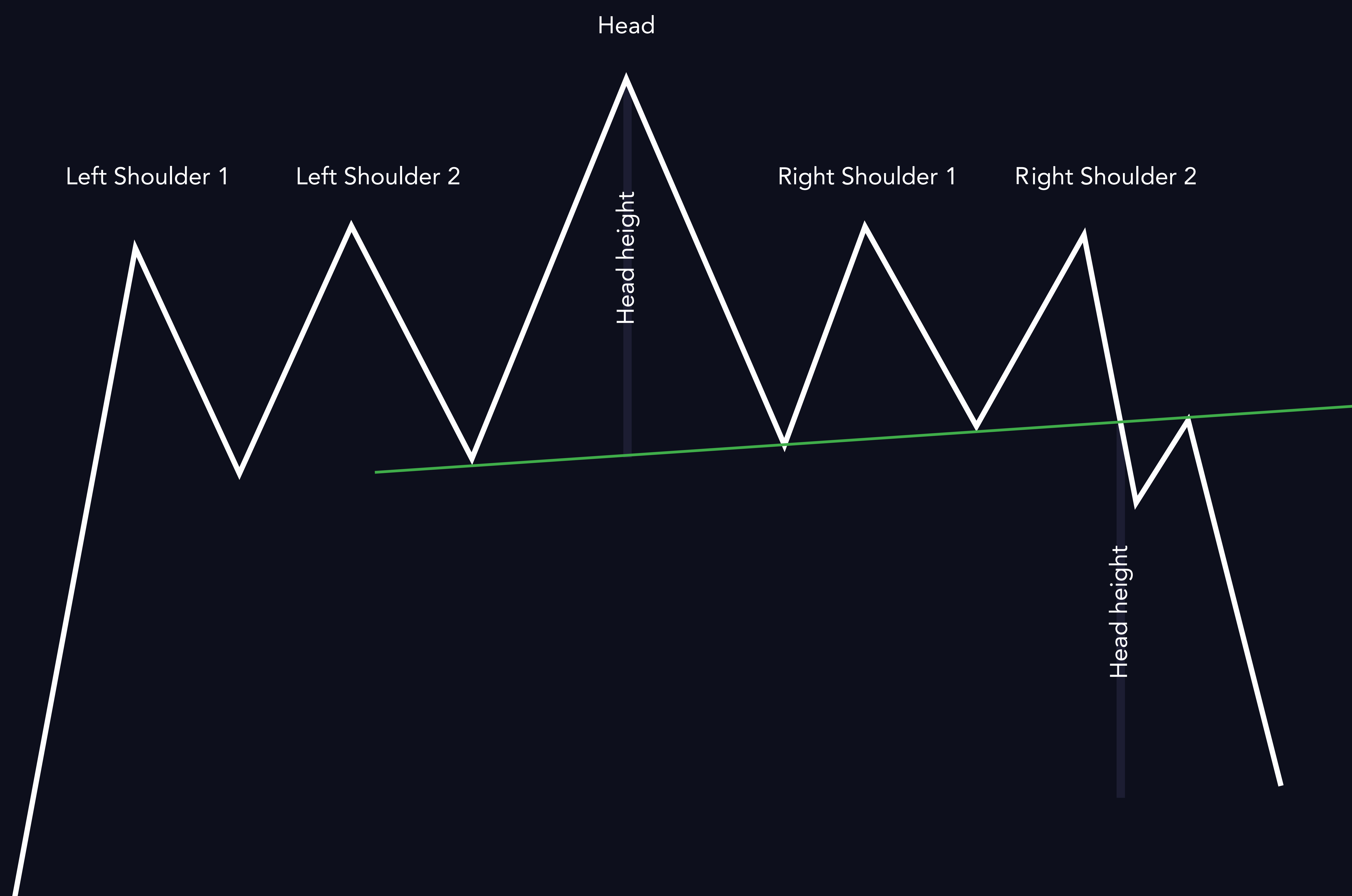
Targets are obtained for the iH&S pattern by taking the price from the bottom of the neckline (green) to the top of the head, and then taking a copy of the price % from the head to the trendline, and placing it at the neckline break to give the measured move target.



Explained in Contenders Trendline Trading stream
on 21. 8. 2019 (17:44)



Trading Trend Lines Live Trade Example



Volume profile and the rules in complex H&S reversal patterns are similar to the basic ones. There are just different combinations such as two shoulders, or two heads (double top) form.

Complex head and shoulder patterns can occur on charts, the rules and targets are the same as in the standard patterns, but you can see the following:

- Two left shoulders and two right shoulders
- One left and right shoulder with two heads.

You can get complex H&S tops, and complex Inverse H&S bottom reversals.



Explained in Contenders Head and Shoulders patterns stream on 10. 7. 2019 (37:32)